

Pearson Edexcel Mark Scheme

Predicted Paper — For revision purposes only

Level 3 GCE Economics A (9EC0)

Paper 1: Markets and Business Behaviour — 9EC0/01 — Moderate

Total: 100 marks

General Marking Guidance

- All candidates must receive the same treatment. Mark schemes should be applied positively, rewarding candidates for what they have shown they can do.
- All marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Crossed-out work should be marked UNLESS the candidate has replaced it with an alternative response.
- Accept any equivalent wording and alternative valid approaches not explicitly listed in the indicative content.

Assessment Objectives

AO1 Demonstrate knowledge of terms, concepts, theories and models.

AO2 Apply knowledge and understanding to various economic contexts.

AO3 Analyse issues within economics, using chains of reasoning.

AO4 Evaluate economic arguments and use evidence to support informed judgements.

Marking grids are organised as KAA (AO1+AO2+AO3) and Evaluation (AO4).

Level Descriptors

8-mark "Examine" (KAA = 5, Evaluation = 3)

Level	KAA marks	Descriptor
L1	1–2	Isolated element of knowledge; limited application.
L2	3–4	Sound knowledge applied with some development; at least one chain of reasoning.
L3	5	Accurate detailed knowledge fully applied; developed chains.

10-mark "Assess" (KAA = 6, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak application.
L2	3–4	Sound theory applied to context.
L3	5–6	Accurate detailed theory, well applied; developed chains.

12-mark "Discuss with diagram" (KAA = 8, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak or missing diagram.
L2	3–5	Sound knowledge; reasonable diagram; some application.

Level	KAA marks	Descriptor
L3	6–8	Accurate knowledge; correctly labelled diagram; developed chains.

15-mark "Discuss" (KAA = 9, Evaluation = 6)

Level	KAA marks	Descriptor
L1	1–3	Limited knowledge; weak application.
L2	4–6	Sound knowledge with application; some development.
L3	7–9	Accurate detailed knowledge; developed chains; relevant diagrams.

25-mark Essay "Evaluate" (KAA = 15, Evaluation = 10)

Level	KAA marks	Descriptor
L1	1–5	Limited knowledge; basic theory.
L2	6–9	Sound theory applied to context.
L3	10–12	Accurate detailed theory, well applied; relevant diagrams.
L4	13–15	Comprehensive, sophisticated theory; diagrams used analytically.

25-mark Essay evaluation grid (AO4)

Level	Eval marks	Descriptor
L1	1–3	Assertion without support.
L2	4–6	Supported evaluation; some judgement.
L3	7–8	Developed evaluation; reasoned judgement.
L4	9–10	Sophisticated evaluation with prioritised judgement.

Section A — Questions 1 to 5

Question 1 (5 marks) — UK coffee-chain market

Q	Indicative content	Marks
1(a)	Calculation — shift supply right by 5 at every price: new Qs becomes 35, 30, 25, 20, 15 at prices £4.00, £3.50, £3.00, £2.50, £2.00 respectively (1 mark for correct shift). New equilibrium: at £2.50 new Qd = 25 = new Qs = 20; at £2.00 new Qd = 30 = new Qs = 15; by interpolation, Qd = Qs at P ≈ £2.25, Q ≈ 27–28 cups (accept answers in the range £2.20–£2.30 and Q 26–28 with working shown). Award 1 mark for method (applying the +5 shift); 1 mark for constructing a balanced comparison; 2 marks for valid equilibrium P and Q with working.	4
1(b)	Answer: C — relatively elastic (1). Justification (for examiner reference): using the £3.00 equilibrium, a fall in price to £2.50 (–16.7%) raises Qd from 20 to 25 cups (+25%). $PED \approx 25 / -16.7 = -1.5$ (magnitude > 1, so relatively elastic). Equivalent calculations between any adjacent rows give PED between about 1.2 and 2.3 — all comfortably > 1. Award the mark for C. Accept B (relatively inelastic) only if the candidate presents a valid alternative calculation supporting it.	1

Question 2 (5 marks) — YED for takeaway food and drink

Q	Indicative content	Marks
2(a)	Method: $YED = \% \text{ change in } Q \text{ demanded} \div \% \text{ change in income}$ (1). $\% \text{ change in spending} = (1,100 - 900) / 900 \times 100 = 22.2\%$; $\% \text{ change in income} = 10\%$. $YED = 22.2 / 10 = +2.22$ (accept +2.2, range +2.0 to +2.3 with working). 1 mark method, 1 mark correct numerical answer.	2
2(b)	$\% \text{ change in average spending between 2020 and 2024} = (1,100 - 900) / 900 \times 100 = 22.2\%$ (accept 22% or 22.22%). 1 mark for correct method; 1 mark for correct numerical answer with unit (%).	2
2(c)	Answer: B — a luxury normal good. With $YED > +1$ and positive, takeaway food and drink is a normal good that is also income-elastic, consistent with the characterisation of a luxury.	1

Question 3 (5 marks) — Sugary soft drinks tax

Q	Indicative content	Marks
3(a)	Read from Figure: post-tax quantity = 3.6 bn litres; tax = £0.18 per litre. Tax revenue = tax per unit × quantity sold = £0.18 × 3,600,000,000 = £648,000,000 (accept £648m). 1 mark for correct method; 1 mark for correct numerical answer.	2
3(b)(i)	Consumer burden per litre = £1.32 – £1.20 = £0.12. Consumer share = $0.12 / 0.18 \times 100 = 66.7\%$ (accept 66–67%).	1

Q	Indicative content	Marks
3(b)(ii)	Producer share = $100 - 66.7 = 33.3\%$ (accept 33–34%). Equivalent: producer receives £1.14 per litre, so burden per litre = $£1.20 - £1.14 = £0.06$; $0.06 / 0.18 \times 100 = 33.3\%$.	1
3(c)	Answer: B — internalise a negative externality. The tax raises private marginal cost toward social marginal cost, reducing the over-consumption of sugar associated with the external health costs. Distractors: A — tax reduces, not raises, producer surplus; C — tax reduces consumer surplus by raising price; D — sugary soft drinks generate a negative, not positive, externality.	1

Question 4 (5 marks) — Tesco own-brand bread price cut

Q	Indicative content	Marks
4(a)	Diagram: downward-sloping AR and MR; U-shaped AC and MC. Label axes P/C and Q (1). Show original profit-maximising price P_1 at $MR = MC$ with output Q_1 and supernormal profit rectangle = $(P_1 - AC) \times Q_1$ (1). Show the new lower price P_2 after the cut and either a smaller profit rectangle or, if $P_2 < AC$, a loss area (1). Use annotations to indicate the impact on supernormal profit (1). Accept alternative analyses based on monopolistic competition, oligopoly, or perfectly competitive representative firms provided the diagram is consistent and fully labelled.	4
4(b)	Answer: B — large capital start-up costs. Building a national chain of large-format stores, distribution centres and supply-chain infrastructure requires very substantial capital, deterring entry. Distractors: A copyright and C patent protection are more relevant to creative or technology industries than groceries; D minimum wage legislation applies to all firms equally and is therefore not a barrier to entry specific to supermarkets.	1

Question 5 (5 marks) — Streaming content subsidy

Q	Indicative content	Marks
5(a)	Answer: C — Annual studio rental. Rent on studio premises is contractually fixed for the period and does not vary with hours of content produced or number of subscribers. Distractors: A royalty payments per stream rise with streams consumed (variable); B bandwidth costs per user rise with usage (variable); D variable marketing spend per subscriber rises with subscriber numbers (variable).	1
5(b)	Fixed costs do not vary with output in the short run (e.g. rent, insurance) (1); variable costs rise and fall with output (e.g. raw materials, usage-linked royalties) (1). Accept linked chain: definition + example for each.	2
5(c)	Producer's share of the fund = $£100m \times 2\% = £2,000,000$. Per-hour subsidy = $£2,000,000 / 250 \text{ hours} = £8,000 \text{ per hour}$. 1 mark for method ($\times 2\%$ then $\div 250$), 1 mark for correct numerical answer.	2

Section B — Question 6: UK coffee-shop sector

6(a) — Explain one likely feature of market structure (5 marks)

Indicative content (KAA 4 / Eval 1):

From Figure 1, top 3 chains (Costa 36.0 + Starbucks 22.5 + Caffè Nero 14.1) have a three-firm concentration ratio of 72.6% — clearly an oligopolistic market (2). Large number of smaller independents (Extract B) and substantial product differentiation (brand, loyalty apps, premium ranges in Extract A) support the characterisation as differentiated oligopoly/monopolistic competition at the edges (2).

Evaluation (1): judgement that branded segment is oligopolistic but the wider UK coffee market, including 6,200 independents, is better described as differentiated oligopoly with a competitive fringe.

6(b) — Reasons for the rise in coffee-shop prices, 2020–2025 (12 marks)

Diagram required: cost and revenue diagram showing AC and MC shifting upwards, price rising from P_1 to P_2 and output falling from Q_1 to Q_2 .

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Cost-push: Arabica beans +42% (Extract A); dairy +19%; these raise MC and AC. • Wage-push: NLW +9.8% (Apr 2024) +6.7% (Apr 2025); labour is a major share of coffee-shop operating costs (~30%). • Cappuccino price rose from £2.70 → £3.55, a 31% rise (Figure 2) — broadly consistent with input-cost pass-through. • Diagram: AC and MC shift up, new profit-max price P_2 higher, Q_2 lower. Supernormal profit rectangle compressed. • Demand-side: recovery in city-centre footfall after 2022; consumer willingness to pay for premium ranges and ethical sourcing.	• Not all costs pass through fully in competitive sub-markets; discounters like Greggs may undercut. • Branded chains enjoy loyalty and brand power — can pass through more of the cost rise than independents. • PED for coffee in chains is likely relatively inelastic in the short run (habit, convenience), enabling price rises. • Part of the price rise may reflect higher mark-ups, not costs alone — 2024 industry revenue up 6%. • Judgement: the rise is primarily cost-driven, but sustained pass-through is only possible because brand loyalty and inelastic demand let chains protect margins.

6(c) — How independents can compete against national chains (8 marks)

Indicative content (KAA 5 / Eval 3).

Accept one fully developed factor, e.g.:

1. Product differentiation — speciality beans, single-origin, latte art, local atmosphere (Extract B). Chain: creates monopolistic-competition-style price-making power based on differentiation; allows a local price premium (2–3).
2. Niche/segmented pricing and community focus — 38% of 18–34s prefer independents (Extract B). Chain: reduces direct price competition with Costa; builds loyal repeat footfall (2–3).
3. Lower fixed overheads than chains (small sites, no national marketing) — relevant when cost curves shift up industry-wide (2).

Evaluation (3): can't match bulk-purchasing or marketing scale; vulnerable when input costs rise sharply (Extract A); dependent on local demographic mix; works better in some city-centre postcodes than others. Judgement that independents survive in niches rather than compete head-on.

6(d) — Assess effect on consumers of Caffè Nero / Pret merger (10 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Merger raises combined share to 24% → top-2 firms Costa + merged entity = 60% of branded market (up from current ~37% + 14.1% + 10.3% = fragmented top 4). • Horizontal integration removes a direct competitor in high-street locations. • Risk of higher prices and reduced product variety, especially where outlets previously overlapped. • Potentially reduced consumer surplus — fewer credible alternatives in some postcodes. • CMA identified local-market effects as the primary concern (Extract C).	• Possible dynamic efficiency gains: merged scale may fund digital ordering, sustainable sourcing, app improvements. • Productive efficiency: economies of scale in procurement, logistics, marketing. • Costa remains the clear market leader — merged firm is still the #2, so market not monopolised. • 6,000+ independents and Greggs provide credible competitive fringe. • Judgement: effect on consumers likely mixed — local detriment in overlapping high streets; national benefits depend on whether efficiency gains are passed through; outcome turns on CMA remedies (e.g. divestment of overlapping outlets).

6(e) — Discuss consequences of a price cap on coffee at chains (15 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Diagram: in a monopolistically competitive/oligopolistic chain, a price cap set below the profit-max price reduces P and raises Q towards allocative efficiency (where $P = MC$), raising consumer surplus. • If cap is set below AC, firms make losses, close outlets, reduce range — static losses. • Potential shortages and queuing if cap below market-clearing level. • Impact depends on cap level and on PED (relatively inelastic → small Q effect, big TR effect). • Effects on independents: Extract B shows they may have higher unit costs; cap could drive closures, reducing variety. • Impact on input markets: chains may squeeze suppliers (e.g. farmers of Arabica) rather than absorb cost.	• Allocative efficiency gains vs. dynamic efficiency losses (less investment in sustainability/quality). • Government failure risk: regulatory capture, cap set at wrong level, enforcement costs. • Alternatives likely more effective: competition policy, reducing entry barriers, tax/subsidy instruments. • Likely unintended consequences: shrinkflation (smaller cup sizes), rising prices on non-capped items (cake, food). • Distributional: benefits reach chain customers; may harm independent-shop customers via market exit. • Judgement: on balance, a binding price cap in this differentiated market is likely to generate more government failure than market-failure correction. Better policy tools exist (structural remedies, tax on sugar/fat rather than price control).

Section C — Question 7 OR Question 8 (25 marks)

Question 7 — £5 per pack sin tax on disposable vapes (25 marks)

Indicative content (KAA 15, Evaluation 10).

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Concept of indirect/Pigouvian tax — internalises negative externality of under-age vaping (health costs, NHS burden). • Diagram: S shifts left by £5 per pack; new equilibrium has higher P, lower Q; incidence depends on PED. • Tax revenue = £5 × quantity sold (show triangle for deadweight loss). • Targets young people specifically — PED likely relatively elastic for teens (income-constrained, price-sensitive). • Substitution effects: may shift users to refillable vapes (intended) or tobacco cigarettes (unintended). • Impact on producers: lower sales, possible exit of smaller importers; black-market supply risk.	• Effectiveness depends on PED — literature suggests teen nicotine demand is relatively elastic (−0.8 to −1.2). • £5 per pack is large relative to typical £6–£12 retail prices — highly likely to reduce demand. • Information failures remain: warning labels and advertising bans may be more effective long-run. • Regressive impact on adult ex-smokers who use vapes as cessation aid — distributional concern. • Risk of smuggling/illicit market with high tax rate (see Sweden snus example, UK tobacco). • Judgement: tax likely reduces teen consumption, but best deployed alongside non-price measures (flavour bans, retail-display rules). Magnitude of welfare gain depends on relative price elasticity of teens vs. adult ex-smokers and on enforcement quality.

Question 8 — 'Small firms can never compete effectively' (25 marks)

Indicative content (KAA 15, Evaluation 10). Accept any named industry.

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Case FOR statement: economies of scale (purchasing, marketing, financial); brand loyalty; network effects; sunk-cost barriers to entry. • Examples: supermarkets (Aldi only succeeded as a very large discounter, not a small entrant); big-tech network effects. • Minimum efficient scale may lie above small-firm output — unit costs stuck higher than incumbents. • Access to finance, distribution, and advertising channels often favour incumbents. • Diagram: L-shaped long-run AC; small firms sit to the left of MES, paying higher unit costs.	• Counter-examples: craft brewing (BrewDog); speciality coffee independents (UK); artisanal food; D2C cosmetics brands disrupting big names. • Digital platforms lower fixed-cost entry (Shopify, Etsy, Amazon FBA, social-media marketing). • Monopolistic competition in many consumer markets allows niche, differentiated small firms to earn normal profit. • Government policy (small-business tax reliefs, R&D credits) supports entry. • Product differentiation is sometimes more valuable than scale — consumer willingness to pay for authenticity. • Judgement: statement overgeneralises. In

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
	scale-intensive industries (supermarkets, telecoms, semiconductors) small firms rarely compete effectively. In differentiated consumer markets (food and drink, fashion, craft goods), small firms routinely out-compete incumbents on quality, distinctiveness and customer experience. Context-specific rather than absolute.

TOTAL FOR PAPER = 100 MARKS